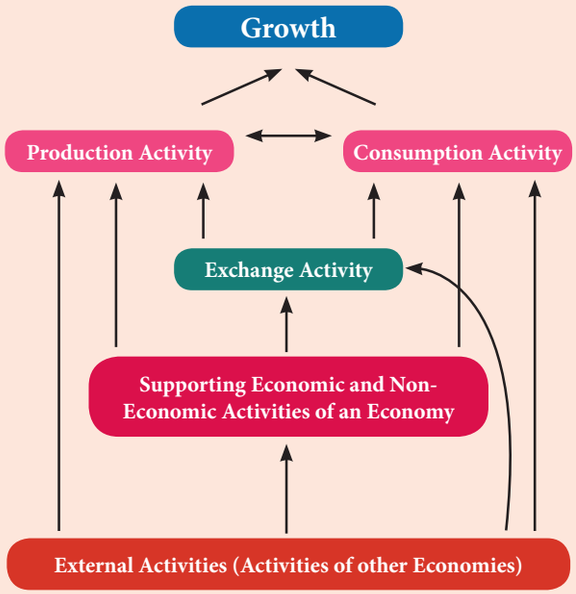
Flow Chart: 1
Functioning of an Economy Based on Activities



In an economy, the fundamental economic activities are production and consumption. These two activities are supported by several other activities. The ultimate aim of these activities is to achieve growth. The 'exchange activity' supports the production and consumption activities. These activities are influenced by several economic and non-economic activities. The major economic activities include transportation, banking, advertising, planning, government policy and others. The major non-economic activities are environment, health, education, entertainment, governance, regulations etc. In addition to these supporting activities, external activities from other economies such as import, export, international relations, emigration, immigration, foreign investment, foreign exchange earnings, etc. also influence the entire functioning of the economy.

Economies can be classified into different types based on the

1. **Status of Development:** Developed, underdeveloped, undeveloped and developing economies.
2. **System of Activities:** Capitalist, Socialist and Mixed Economies.
3. **Scale of Activities:** Small and Large Economies.
4. **Nature of Functioning:** Static and Dynamic Economies.
5. **Nature of Operation:** Closed and Open Economies.
6. **Nature of Advancement:** Traditional and Modern Economies.
7. **Level of National Income:** Low Income, Middle Income and High Income Economies.

1.7 Economic Systems

Economic System refers to the manner in which individuals and institutions are connected together to carry out economic activities in a particular area. It is the methodology of doing economic activities to meet the needs of the society. There are three major types of economic systems. They are:

1. Capitalist Economy (Capitalism),
2. Socialist Economy (Socialism)and
3. Mixed Economy (Mixedism)

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